Module 4: NYT v. Microsoft & OpenAI — Student Packet

Start here — NYT v. Microsoft & OpenAI

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet below. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- The assigned complaint describes relationships among a parent, subsidiaries, and a commercial partner.
- The case raises questions about access to inputs and authority over how they are used.
- The complaint presents allegations and legal theories; it does not by itself establish liability.

Three terms

- Capital: resources contributed to fund the venture.
- Control: authority to make or stop decisions.
- Liability: responsibility for obligations or harm.

Worked example — discuss before opening the simulation

Illustrative startup: an investor offers funding in exchange for a board seat and approval over major spending. Map what money arrives, who gains a decision right, and what the founders give up.

Readiness check: Who can approve or stop the decision, and what responsibility accompanies that control? Ask a teammate to explain the task back before starting.

Choose your role

Read the primer above and only your assigned role below. The detailed role pages and full company summary are optional references. Record the decision text, evidence, trade-off, and what would change your mind.

Financial Lead

Decision

Capital never arrives alone. Where does the next dollar come from — and what does it take?

Your four choices — pick one

- **(A) Keep the charitable parent nominally in control on the org chart** and let the for-profit subsidiaries take whatever terms investors require.
- **(B) Raise against a defined scope**, and treat the governance rights the investor wants as part of the price — because the complaint reaches Microsoft through *"legal and financial influence"*, not through its stake.
- **(C) Take the strategic money and the compute together** — it is the cheapest capital available and the alternative is not building the thing at all.
- **(D) Diversify the capital base** so no single provider holds both the money and the infrastructure we cannot operate without.

Need more evidence? Detailed role reference.

Marketing Lead

Decision

Your company's structure is about to change. When a stated purpose is a legal fact, what do you say?

Your four choices — pick one

- **(A) Keep the founding mission language exactly as it is.** It is what the brand was built on, and changing it would concede that something changed.
- **(B) Publish the governance arrangements themselves** — who controls what, and what the mission constrains — so the promise and the chart cannot drift apart.
- **(C) Say less about purpose altogether** and let the products speak, since any mission language can be read back as a commitment.
- **(D) Say only what the structure can actually deliver, and restate it the day the structure changes** — because a stated purpose is a charter document, and this complaint quotes the 2015 promise back at a 2023 defendant.

Need more evidence? Detailed role reference.

Operation Lead

Decision

A licence converts an unbounded exposure into a priced line item. How do you obtain your inputs?

Your four choices — pick one

- **(A) Build the provenance system first** — know exactly what went in and under what terms — so we can licence, exclude or replace any input on demand.
- **(B) Take the public web now and negotiate later** from a position of strength — the product exists either way, and a settlement after launch is cheaper than a licence before it.
- **(C) Licence the inputs before the build**, on defined-purpose terms — the market rate was published and the counterparty asked to negotiate in April 2023; a priced contract term is the only version of this exposure that has a ceiling.
- **(D) Rely on the doctrinal argument** that training is transformative, and reserve against the risk that a court disagrees.

Need more evidence? Detailed role reference.

Tech Lead

Decision

Liability attaches to control, not to the org chart. How much control do you take over a partner's system?

Your four choices — pick one

- **(A) Stay a neutral utility:** general-purpose infrastructure, no bespoke build, no involvement in what the customer runs on it.
- **(B) Push the whole obligation into the contract** — warranties on the training data, audit rights, and indemnities that follow whoever chose the inputs.
- **(C) Take as much operational control as the partnership will give us** and rely on the separate corporate entities to keep the liability where it belongs.
- **(D) Decide deliberately:** either hold the control and exercise it — with real input review and the ability to say no — or contract it away and stay a utility. The pleaded theory is *"right and ability to prevent"*, so unexercised control is the worst of both.

Need more evidence? Detailed role reference.

Account Manager

Hear the four leads; rank Capital, Purpose, Inputs, Control from 1–4 and distribute 100 priority points in blocks of 10. Defend the first priority with evidence, describe one trade-off, and name a condition that would change your ranking. There is no required ranking independent of your reasoning.

Save before leaving

Decision → evidence and source → trade-off → change after discussion → concept and venture application. Keep your own copy for the reflection.

Venture workshop

Draw your venture's proposed ownership and decision structure. Name who approves a major spending decision, who reviews input permissions, and one trade-off in the structure. **Output:** A governance sketch and justification for Midterm Section D.

Submission

Submit your individual reflection in the existing HuskyCT assignment at its current deadline. Use the five headings in the reflection guide; from October 20 onward, aim for 300–500 words. The workshop is project preparation, not a separate new graded submission.